

RaceSims · Chennai — Will it make money?

A SIMPLE LOOK AT BREAK-EVEN & PROFIT · SIM-RACING CENTRE, 8 RIGS

How to read this: a "rig" is one racing simulator seat. "How full" means how much of the day the seats are actually booked. We only need them **10% booked** to cover every cost — and a real RaceSims dealer already runs at twice that.

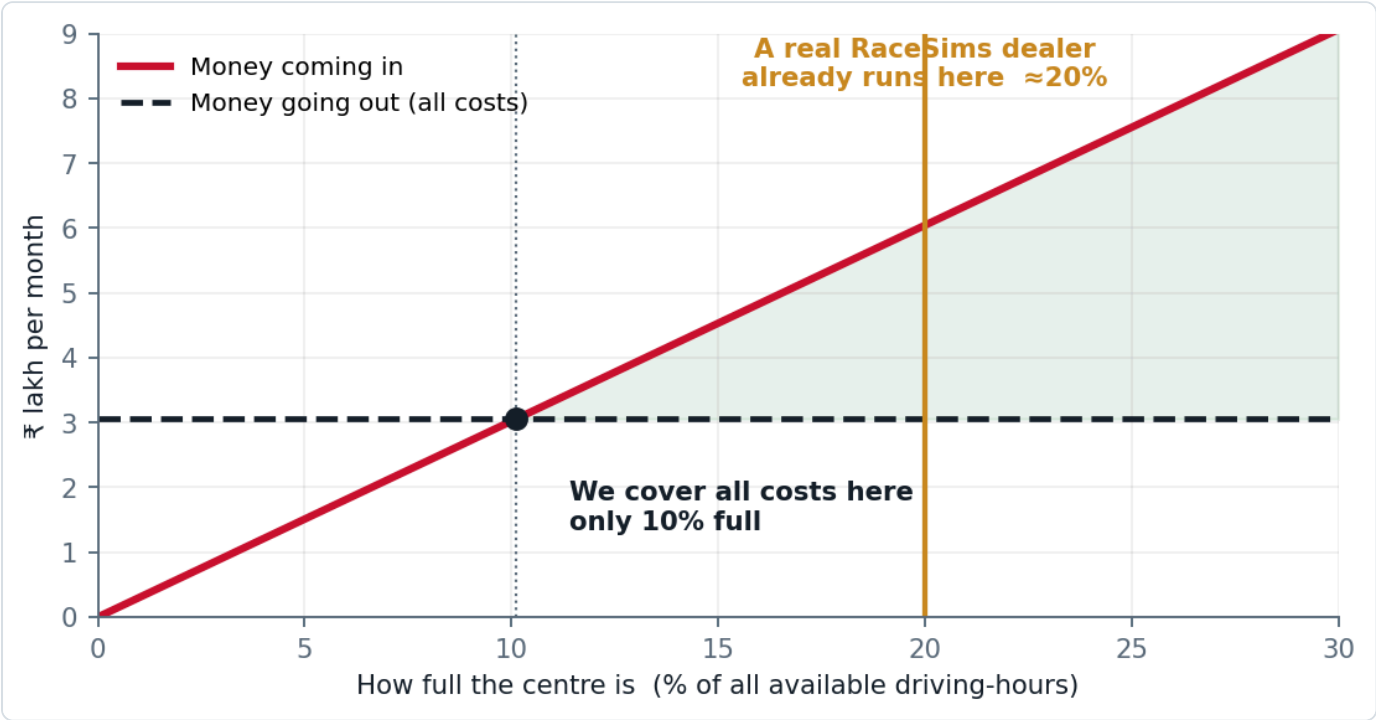
10% full
is all we need to cover every cost

₹8.4–28.9L
profit in the first year

₹68.3L
total money invested

~13 months
to earn the money back

1 · How full do we need to be?

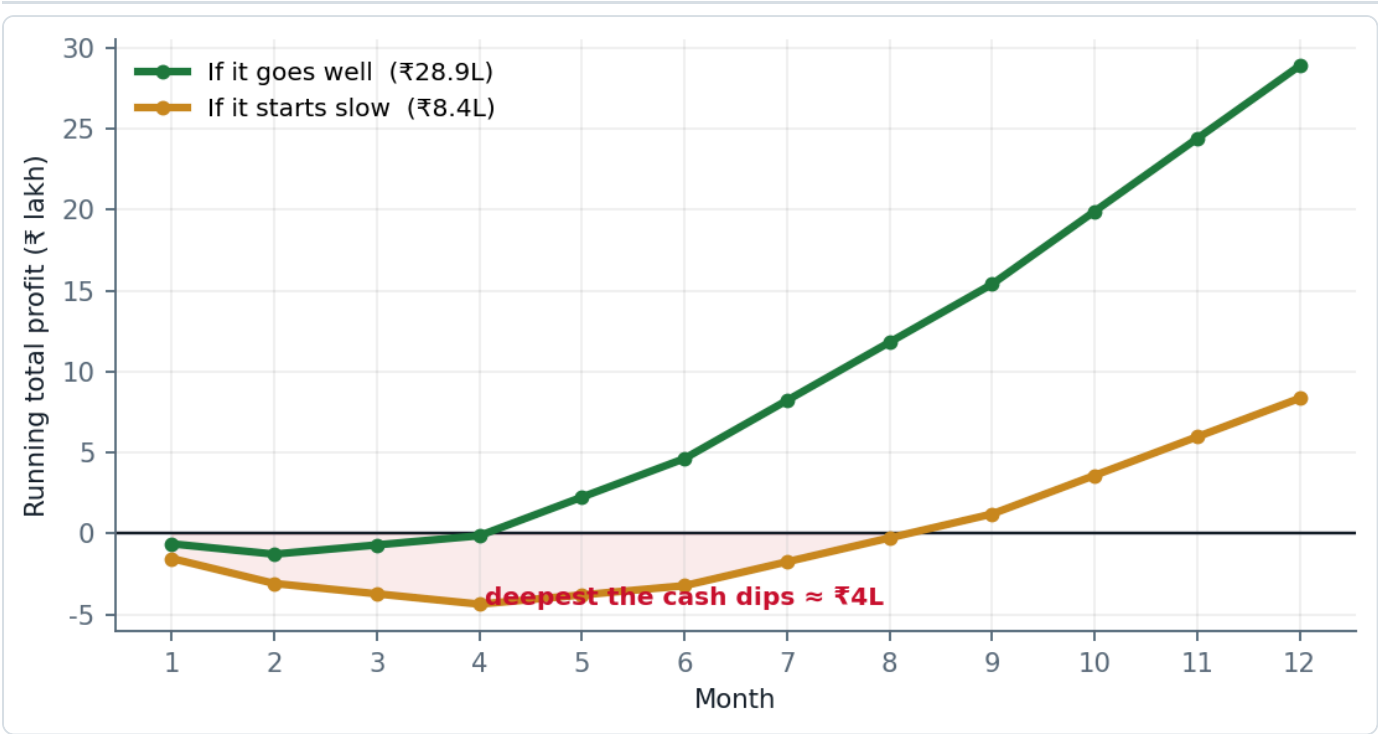


The red line is money coming in as the centre fills up; the dashed line is everything it costs to run. Where they cross — at just 10% full — we break even. A real dealer already runs at about 20%, twice that.

The numbers, in plain words

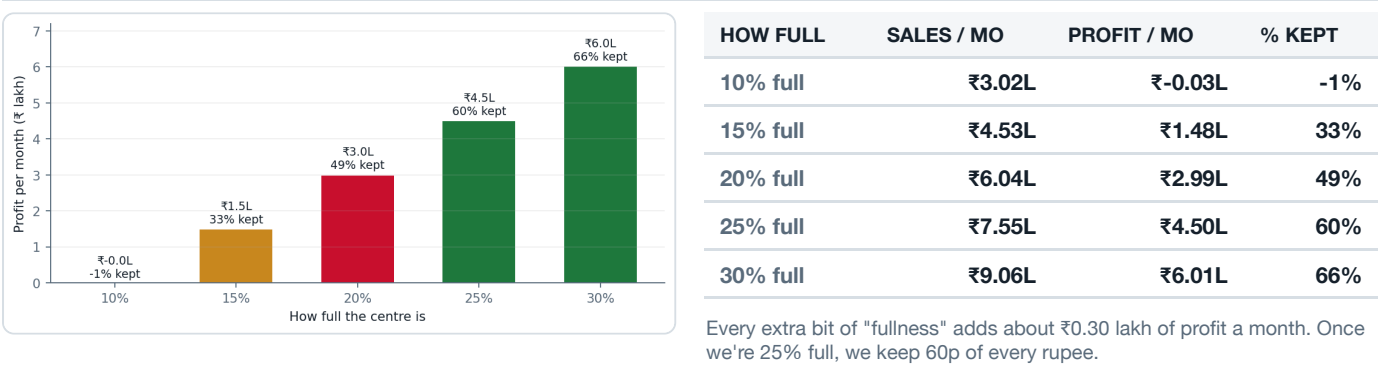
What it is	8 racing rigs + 2 staff, drop-in sessions
Seats available	2,496 driving-hours every month
Average price / hour (after tax)	₹1,210
Cost to run each month	₹3,05,500
Break-even — how full to cover costs	10% full
Money invested	₹68.3L (of which ₹59.0L truly at risk)
First-year profit	₹28.9L if it goes well · ₹8.4L if slow
Time to earn the money back	about 13 months
Starts making money from	Month 3 (well) · Month 5 (slow)

2 · A small dip, then steady profit



Running total of profit through the first year. Even if it starts slow (gold line), the most we are ever "down" is about ₹4 lakh — and we keep ₹17 lakh aside as a cushion. It turns profitable by month 3–5, then climbs.

3 · How profit grows as we get busier



RaceSims · Chennai — The Plan, in Full

WHAT WE SPEND · WHAT IT COSTS TO RUN · WHAT WE GET

The idea. A premium sim-racing centre run by Racesims Solutions Pvt Ltd — **8 racing rigs, 2 staff**, about 1,142 sq ft, open 12 hours a day. People pay to drive; a café and a training academy come later as extra income.

What people pay (tax included): ₹750 for 30 min / ₹1,250 for an hour on a normal rig · ₹1,000 / ₹1,600 on the motion rig.

Timeline: from go-ahead to opening ≈ 16 weeks · profitable by month 3–5 · money back in ≈ 13 months.

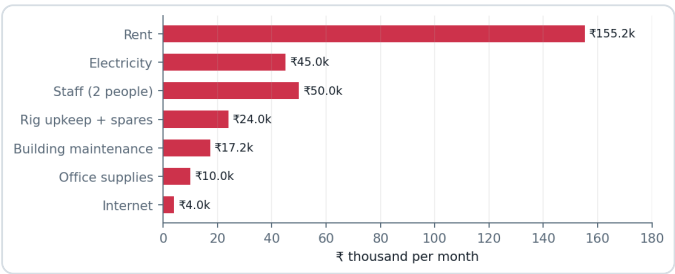
What we invest (one time)

ITEM	AMOUNT
8 racing rigs (bought at our own cost price)	₹50,79,200
Deposit — 6 months rent (comes back later)	₹9,31,500
Power, electrical & battery backup	₹3,00,000
Interiors, branding, coffee & training room	₹4,60,000
Cash to run the first 2 months	₹6,11,000
Buffer for surprises (5%)	₹3,38,535
Total upfront cost	₹77,20,235
<i>less refundable tax (GST credit)</i>	<i>(₹8,90,756)</i>
Money actually spent	₹68,29,479
<i>of which deposit (comes back)</i>	<i>(₹9,31,500)</i>
Money truly at risk	₹58,97,979

The rigs are RaceSims' own product, bought at cost — worth ₹85–95L at shop price, so most of the spend is a resellable asset, not money gone.

What it costs to run (each month)

ITEM	₹ / MONTH
Rent	₹155,250
Electricity	₹45,000
Staff (2 people)	₹50,000
Rig upkeep + spares	₹24,000
Building maintenance	₹17,250
Office supplies	₹10,000
Internet	₹4,000
Total each month	₹3,05,500



What we get

10% full covers all costs	₹8.4–28.9L first-year profit	₹58.98L truly at risk	~13 months to earn it back
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A few terms, in plain English. **How full / occupancy** = share of all seat-hours that are actually booked. **Break-even** = the busy-ness level where income exactly equals costs. **Profit (EBITDA)** = money left after running costs. **GST credit** = tax paid on purchases that the business gets back. **Money truly at risk** = what we could actually lose; the deposit and the rigs are recoverable. **Payback** = time for profit to repay the investment.

Honest notes: prices include tax; figures assume full company tax and no tax breaks; the slow/fast cases are checked against a real RaceSims dealer already operating (≈20% full by month 6). Café & academy income is extra, not counted here. · RaceSims · Chennai · Racesims Solutions Pvt Ltd